3. If auditor gives a qualified report, following consequences will result:
   a. Board of Directors have to resign.
   b. Central Government may impose a fine on directors
   c. The recognised stock exchange on which company's shares are listed would revoke listing.
   d. The Board of directors has to give reply to such qualifications in its Board's report.

4. The company auditors present the audit report to :
   a. Board of director
   b. Company registrar
   c. Central Government
   d. Shareholders

5. A good audit report must at least meet one of the following qualifications _____.
   a. it should offer constructive and timely suggestions to the management.
   b. it should not point out mistakes.
   c. it should not be based on factual information.
   d. it should not be based on Balance Sheet.

6. Who is responsible for the appointment of statutory auditor of a limited company?
   a. Directors of the company
   b. Members of the company
   c. The Central Government
   d. All of the above

7. When restrictions that significantly affect the scope of the audit are imposed by the client, the auditor generally should issue which of the following opinion?
   a. Qualified opinion
   b. Disclaimer of opinion
   c. Adverse opinion
   d. Unqualified report with 'an emphasis of matter' paragraph;
   d. All of the above

8. In case the auditor gives a disclaimer of opinion in the audit report which of the following paragraph(s) of a standard unqualified audit report are modified?
   a. Scope paragraph
   b. Opinion paragraph
   c. Scope and opinion paragraphs
   d. introductory, scope and opinion paragraph

9. Ordinary shares are also called:
   a. Equity Shares
   b. Founder's Shares
   c. Deferred Shares
   d. Preference Shares

10. Share may be issued _____
   a. at par
   b. at premium
   c. at discount
   d. all the above.

11. A copy of the _____ must accompany each from of application for shares offered to the public.
   a. Memorandum of Association
   b. Prospectus
   c. Articles of Association
   d. All of the above

Chapter_10.indd 161 12/23/2019 3:19:43 PM